BOARD OF THE CBA

MINUTES
(13.02.2018)

Refinancing Rate of February 13, 2018

The CBA Board Meeting of February 13, 2018 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, and Oleg Aghasyan.

The Board meeting opened with presentation of Situation Report as of February 13, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

In the yearend 2017, it was noted, the 12-month inflation rate has been near the lower bound of the confidence band, as was expected, amounting to 2.6% in late December. Inflation in December was mainly driven by the increase in seasonal agricultural products, which had been rather below the typical growth rates in the same month of the previous year. There was 2.7% inflation registered in January of 2018, which was mainly determined by the increase in food prices. Note that 0.4 pp of the month's inflation owed to the impact of risen fuel prices. It should also be noted that the actual impact of the change in excise and customs duty rates in Armenia since the start of the year is within the Central Bank's estimated benchmark. The Board expects that in the short-term perspective the inflation environment will grow slightly, as a result of which the 12-month inflation rate will fluctuate within the confidence band in the forecast horizon, stabilizing around the target beginning from 2019.

Addressing the current economic situation, the Board stated that economic activity was strong enough in the fourth quarter of 2017, mainly driven by high growths registered in the industry and services sectors. Thus, by actual results of the quarter, the **Economic Activity Indicator has been 7.7%** in January-December compared to the same period of the previous year, which prompted the Central Bank to again revise the annual economic growth forecast: **it is estimated within 7.2% - 7.4% instead of 6.3% - 6.5% as was estimated previously.** High economic activity, it was recorded, has been attributable to domestic demand that recovered at accelerating rates, which continued to be driven by expansionary monetary policy implementation and strong growth in economy lending. Increased growth in imports as well as continued growth patterns in core inflation rate and inflation expectations are also pointing to a relatively high domestic demand.

The Board also discussed the external sector developments. In the fourth quarter, the pace of economic growth in the main partner countries exceeded expectations due to the rapidly recovering domestic demand. In the world commodity markets in the quarter, inflation trends persisted, while the falling in prices for some products has been observable there. Taking into account the aforementioned developments as well as the trends that could be maintained in the upcoming months, the Board considers that minor inflationary effects from the external sector are likely.

The Board looked into the developments in the domestic financial market: it was noted that in view of high excess liquidity at the beginning of the year, the Central Bank used absorbing instruments, which facilitated the approaching of interest rates in the interbank market to the policy rate.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. Two options were to be considered – whether to leave the refinancing rate unchanged or to raise it. The Board preferred to decide on the current monetary conditions basing upon the need to enhance sustained recovery of domestic demand and in consideration of notable mitigation of previous inflation expectations shaped additionally due to high price increases on certain goods and the influence of expected change in tax and customs duties since the start of the year. The Board believes that, in the light of predicted developments, expansionary monetary policy conditions would need to phase out gradually **in the medium run** in order to fulfill the inflation target. As a result, **the 12-month inflation rate will continue to gradually increase, fluctuating within the confidence band, and will stabilize around the target afterwards.**

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD RESOLUTION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1 Lombard facility rate offered by the Central Bank to be 7.5%.

2.2. Deposit facility rate offered by the Central Bank to be 4.5%.

3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

February 13, 2018

PRESS RELEASE
13.02.2018

At the February 13th of 2018 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 2.7% inflation in January of 2018, almost as much as the indicator registered in the same month of the previous year, and the 12-month inflation rate amounted to 2.7% at the end of the month. Moreover, direct and indirect effects of change in tax and customs duties were within the estimation by the CBA.

Actual developments in the external environment have largely reflected continued trends for improving global economic growth and persisting inflationary patterns in some commodity markets of the world. In view of such developments, the CBA Board keeps anticipating minor inflationary effects from the external sector, as external demand recovers.

The CBA Board notes that economic activity was strong enough in the fourth quarter of 2017, driven primarily by high growths reported in services and industry. High economic activity was concurrent with rapid growth in domestic private demand, which continues to be promoted by expansionary monetary policy and a relatively high growth in lending to the economy by the financial system. Nevertheless, there is still a need for monetary stimulation to secure sustained recovery of demand, especially since additional inflation expectations have rather weakened.

Taking the abovementioned into account, the CBA Board finds it reasonable to maintain the current level of monetary conditions. At the same time, the Board believes that, in light of predicted developments, a gradual offsetting of expansionary monetary conditions would be needed in the medium run to fulfil the inflation target. As a result, inflation will continue to gradually increase, floating within the confidence band and stabilizing around the target afterwards.
Should there emerge risks to economic growth outlook and to the inflation deviating from its recovery path, the CBA would adjust the monetary policy directions accordingly.

....

Press Service of the Central Bank of Armenia